APEX COMMERCE — CONFIDENTIAL OPERATIONAL & SUPPLIER AUDIT (INR)

Page 1: Supplier Contracts & Fulfillment Friction

Primary component supplier agreement was revised in February 2024. The renegotiated terms introduced a mandatory 11% surcharge on key raw assemblies. Furthermore, minimum order quantities (MOQ) were increased, locking up an additional ■6,50,000 in working capital. Air express delivery surcharges between manufacturing hubs have averaged 18% above budgeted allocations.

Page 2: Marketing Channel Attribution & Customer Returns

Meta and digital advertising acquisition costs rose sharply. Blended Customer Acquisition Cost (CAC) rose from ■380 to ■840 per acquired buyer in May 2024. Customer return rate (RTO) on the V2 product line increased from 3.2% to 7.8% due to transit packaging damage. Recommended corrective action: Halt unprofitable retargeting campaigns and negotiate bulk local packaging supplies.